

SLOVENIA 2015

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

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Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

In the period January to December 2015 in Slovenia, average monthly gross earnings for activities B-N (by NACE Rev. 2) were EUR 1,507.68 (annual value EUR 18,092)¹, while average monthly net earnings were to EUR 980,42 (annual value EUR 11,765).

In the period January to December 2015 in Slovenia (activities A-S), average monthly gross earnings were EUR 1,555.89 (annual value EUR 18,671), while average monthly net earnings were EUR 1,013.23 (annual value EUR 12,159).

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2009-2010, OECD, 2011, part IV.

2. Unemployment insurance

The statutory basis for unemployment insurance is the “Labour Market Regulation Act” (*Zakon o urejanju trga dela - ZUTD*) (Official Journal (OJ) RS, no. 80/10, 21/13, 63/13 and 100/13) which began to be implemented on January 1 2011.

Program name in local language		...
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 24 out of last 36 months
Waiting period (days)		0
Maximum duration (months)		12
Upgrading mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	80%
	benefit at the end of legal entitlement period in % of calculation base	60% from month 4 on
	Calculation base	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	Benefit is reduced proportionally with work hours, full withdrawal of benefit if working more than 20 hours per week
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	0
	contract type	0
	other	0

Article 60 of the *ZUTD* provides longer maximum duration of unemployment benefit for persons older than 50 and 55 years. An unemployed person may claim the unemployment cash benefit lasting:

- two months for an insurance period ranging from six to nine months (only for unemployed persons younger than 30 yrs)
- three months for an insurance period ranging from nine months to five years,
- six months for an insurance period ranging from 5-15 years,
- nine months for an insurance period ranging from 15-25 years,
- twelve months for an insurance period exceeding 25 years,
- nineteen months for insured persons older than 50 years of age and with an insurance period exceeding 25 years,
- twenty-five months for insured persons older than 55 years of age and with an insurance period exceeding 25 years.

Upon repeated enforcement of the right to cash benefit, the insurance period from which the right to cash benefit had been already assessed and the insurance period achieved based on receiving cash benefit shall not be included in the insurance period for cash benefit assessment. This provision does not apply to insured persons who upon repeated enforcement of the right are older than 57 years of age or have accumulated an insurance period of more than 35 years. For these people, the insurance period for cash benefit assessment includes whole insurance period of that person (Article 69 of the *ZUTD*).

2.1 *Conditions for receipt*

Benefits are payable for any registered unemployed person who is actively seeking full-time work. Conditions for receipt of unemployment benefits are:

- involuntary unemployment (i.e. through no fault of their own or against his/her own will),
- fulfillment of a minimum period of insurance,
- registration at the Employment Service of Slovenia (regional unit or branch office),
- application for benefit within 30 days of the termination of employment,
- being capable of work,
- actively seeking employment and
- prepared to accept any appropriate or suitable employment offered by the Employment Service or other provider of employment brokerage services.

The aim of this Act is to assure security to insured persons if unemployment occurs through no fault of their own or against their will by providing an unemployment cash benefit in compliance with the reciprocity and solidarity principles. Rights to unemployment cash benefits shall not be exercised by an insured person who became unemployed through his/her own fault or volition.

To become and remain entitled to the benefit, an unemployed person must be available for employment and actively seek employment.

Among other reasons, provided in Article 65 of the Act, the entitlement to cash benefit shall also cease under certain conditions for the termination of record keeping in the register of unemployed persons and persons participating in active employment policy programmes. These reasons are: if an unemployed person refuses to enter an active employment policy programme or breaches an obligation arising from the contract on the entry in an active employment policy programme, refuses to accept appropriate or suitable employment, or does not endeavor to get the job during a job interview, does not provide correct data regarding the eligibility for obtaining the status of the unemployed person or status of a participant in an active employment policy programme, if it is established by the competent authority that an insured person has been or is engaged in occasional or regular illegal employment, if an unemployed person is not an active job seeker, unless exempted from this obligation by the employment plan, or refuses to sign the employment plan in accordance with this Act Article 113 paragraph six (third, fourth, fifth, eighth, ninth and tenth indent of the first paragraph of Article 129 of the *ZUTD*).

2.1.1 *Employment conditions*

Unemployment Benefit qualifying period:

- Unemployment insurance rights may be obtained by an unemployed person who was insured for at least nine of the last 24 months before the unemployment occurred (Article 59 of the *ZUTD*).
- The minimum insurance period ranges from six to nine months (only for unemployed persons younger than 30 yrs. – seventh paragraph of Article 60 of the *ZUTD*)
- Insurance rights shall be obtained by the insured person exclusively based on the contribution payments, if not otherwise determined hereunder for a specific event.

2.1.2 *Contribution conditions*

Insurance rights shall be obtained by the insured person exclusively based on the contribution payments, if not otherwise determined hereunder for a specific event.

Disregarding the previous paragraph, a person who was insured based on an employment relationship shall also obtain unemployment rights, if the employer failed to pay the contribution payments even if recovery of these payment proves impossible. In these cases, the entire duration of the employment relationship shall be included in the insurance period of such insured person (second and third paragraph of Article 59 of the ZUTD).

Insurance is compulsory for:

- persons who entered into an employment relationship with the Republic of Slovenia;
- persons who upon termination of their employment relationship receive wage compensation during temporary absence from work from the Health Insurance Institute of the Republic of Slovenia according to regulations governing health insurance;
- elected or nominated holders of a public or other office in the legislative, executive or judicial bodies in the Republic of Slovenia or in local self-government, if such persons receive salaries for their post;
- citizens of the Republic of Slovenia, employed in the Republic of Slovenia by foreign and international organizations and institutes, foreign diplomatic missions and consulates , if not otherwise specified by an international agreement, and persons employed by foreign employers for which the laws of the Republic of Slovenia apply in compliance with EU regulations;
- self-employed persons;
- managers in a partnership, single-member private limited liability company and institutes;
- home care assistants, beneficiaries of partial payment for lost income in line with the regulations governing social security;
- persons who based on the professional performance of foster placement have compulsory insurance in line with the law governing foster care, if not insured on some other basis;
- beneficiaries of parental compensation whose employment relationship has been terminated during parental leave according to the law governing parental protection and family benefits;
- parents who leave the labour market to care for four or more children for the period of eligibility for the payment of contributions according to the regulations governing parental protection;
- recipients of the unemployment cash benefit;

(see also Article 54 of the ZUTD).

Insurance is voluntary for:

- Slovenian citizens employed by an employer in a foreign country who upon returning to their homeland cannot exercise their unemployment rights on other grounds;
- spouses and unmarried partners of Slovenian citizens employed in a foreign country who were employed or self-employed immediately prior to their departure abroad;
- persons during the employment contract suspension according to the regulations governing employment relationships;
- spouses or unmarried partners of diplomats and other public servants assigned to work abroad if one year before their departure they had registered with the Employment Service as unemployed for at least six months;
- spouses or unmarried partners of diplomats and other public servants assigned to work abroad if in the year before their departure abroad they had been included in the unemployment insurance for at least six months, if such persons have no compulsory insurance hereunder;

(also see Article 57 of the ZUTD).

2.2 *Calculation of benefit amount*

The cash benefit assessment basis is the average monthly salary received by an insured person in the eight months prior to the month of unemployment.

The cash benefit assessment basis for unemployed persons younger than 30 years shall be the average monthly salary received by an insured person in the five months prior to the month of unemployment.

If an insured person during the period referred to in the previous paragraph was a recipient of salary compensation pursuant to regulations governing employment relationships, health insurance, pension and disability insurance or parental protection insurance, the cash benefit assessment basis shall include the average salary received in the last eight months. If the insured person received salary for a shorter period, the received cash benefit shall be taken into account for the missing months.

Insured people who within the period referred to in the first paragraph of this Article worked for a shorter working time pursuant to regulations governing health insurance, pension and disability insurance or parental protection insurance, the cash benefit assessment basis shall include the received salary converted to full time work.

The cash benefit assessment basis for insured people who did not receive salary or salary compensation in the aforementioned period shall include the received salary for the last eight months or, if the insured person only received salary for a shorter period, his/her basic salary for the missing months increased by the seniority allowance which the person would have received if he/she had worked.

The cash benefit assessment basis for the self-employed or persons who voluntarily entered compulsory insurance shall be the average basis from which contributions were paid for in the period referred to in the first paragraph of this Article or with voluntary insured persons for 11 months prior to the month the unemployment occurred (also see Article 61 of the ZUTD).

If the insured person was employed a part-time basis, which on average did not exceed 15 hours per week, or performed his work in this range on another legal basis for more than half the time during the previous nine months, the amount of money should be levied in proportion to the duration of employment per month without taking into account the provisions of the second paragraph on the lowest monetary compensation (fourth paragraph of Article 62 of the ZUTD).

2.2.1 *Calculation of gross benefit*

Unemployment benefits rates:

- first three months: 80% of the reference basis,
- following nine months: 60% of the reference basis.
- after 12 months: 50 % of the basis.

The minimum benefit amount is EUR 350. The maximum benefit is EUR 892.50 gross. In 2015, the monthly gross statutory minimum wage was EUR 790.73.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Reasons for termination of the entitlement to benefits are defined by the law (11 reasons , also see Article 65 of the ZUTD), and related also to not being available for work, not searching work and unjustifiably declining employment, measures of training and education or other measures for reemployment and working illegally (moonlighting).

Insured people who, while receiving cash benefits, perform work for which they receive or are eligible to receive income, which after paying taxes and mandatory contributions exceeds 200 Euros per month has their cash benefits reduced.

Income from work is construed as any income from any type of contractual relationship based on which the insured person performs physical or intellectual work, including the provision of services and creation or performance of copyrighted work. Income from work is also construed as income for performed work or the services of a procurator (proxy) or for the management and supervision of a business entity with a legal personality.

The cash benefit shall be reduced by 50% of the amount by which income from work exceeds 200 Euros. If an insured person is raising minors, the cash benefit for each child is increased by 10% of the full amount of cash benefit to which the person concerned would have been entitled if they had received no income from work, however it cannot exceed the full cash benefit amount. The reduction shall not be carried out if the cash benefit be reduced by less than 20 Euros (see also Article 67 of the ZUTD).

An insured person who seeks full-time employment and signs a part-time employment contract shall retain the right to be paid a proportionate part of the cash benefit and proportionate part of contributions for pension and disability insurance until the fulfillment of conditions for retirement for the difference to full-time employment (see also Article 66 of the ZUTD).

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment benefits are subject to personal income tax.

The Changes of Labour Market regulation Act (ZUTD-B) was adopted in July 2013. This changes the activation of recipients of unemployment benefits. The long-term unemployed may now be included in the Public Works (Active Labour Market programme) for the duration of the right to unemployment benefit, taking half of the period in the Public Works considered as time to UB entitlement. This means that the long-term unemployed at this time instead of compensation receive a salary (that is, payment for work, expressed as a percentage of the minimum wage, as set out in Article 52 of the Act), while her right to unemployment benefit at the half time of inclusion in the program of public works will not be suspended. The new regulation also allows the transition from passive to active forms of assistance for the long-term unemployed.

Furthermore, the law benefiting the long-term unemployed also deals with the situation where compensation is higher than the salary. In that case he or she is entitled to the difference between the salary and the compensation.

2.4 *Benefit duration and waiting periods*

Unemployment benefit duration depends upon length of contribution history:

- 2 months for the contributions from six to nine months (only for unemployed persons younger than 30 yrs),
- 3 months for contributions of 1 to 5 years,
- 6 months for contributions of 5 to 15 years,
- 9 months for contributions of 15 to 25 years,
- 12 months for contributions of 25 years or more,
- 19 months for insured persons over 50 years of age with a contribution history of more than 25 years,

- 25 months for insured persons over 55 years of age with a contribution history of more than 25 years (see first and seventh paragraph of Article 60 of the ZUTD).

The right to cash benefits can be re-applied in case of obtaining a new insurance period of at least 9 months (or at least 6 months for unemployed persons younger than 30 yrs) in the last 24 months (also see Article 59 and 60 of the ZUTD).

Upon repeated enforcement of the right to cash benefit, the insurance period from which the right to cash benefit had been already assessed and the insurance period achieved based on receiving cash benefit shall not be included in the insurance period for cash benefit assessment.

The provision of the previous paragraph shall not apply to insured persons who upon repeated enforcement of the right are older than 57 years of age or have accumulated an insurance period of more than 35 years (see Article 69 of the ZUTD).

2.5 Treatment of particular groups

2.5.1 Young persons

Those aged under 30 are entitled to two months of insurance if they have made six to nine months of contributions in the last 24 months.

2.5.2 Older workers

The duration of unemployment benefits is extended for unemployed persons aged 50 or more (see indent five and six of the first paragraph of Article 60 of the ZUTD).

Unemployment Extension Contribution (*podaljšano plačevanje prispevka za pokojninsko in invalidsko zavarovanje za brezposelne osebe*) is available:

- For insured unemployed citizens of the Republic of Slovenia, another EU or EEA country or the Swiss Confederation, aliens with permanent residence, if the entitlement to unemployment benefit has been exhausted and they are within one year of fulfilling the conditions for retirement.
- For insured unemployed persons aged at least 57 or who completed at least 35 years of insurance period, the Unemployment Extension Contribution is extended for up to two years before the fulfillment of conditions for retirement (until 1 March 2015).

2.5.3 Others if applicable, including disabled

Insured people who seek full-time employment and sign a part-time employment contract shall retain the right to be paid a proportionate part of the cash benefit and proportionate part of contributions for pension and disability insurance until the fulfillment of conditions for retirement for the difference to full-time employment (also see Article 66 of the ZUTD).

3. Unemployment assistance

There is no unemployment assistance programme in Slovenia.

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

Unemployed people can apply for benefits after a new period of employment if they fulfill certain conditions. When the right to cash benefit is reclaimed by an insured person whose right to this benefit terminated because it was entirely exercised the insurance period shall not include the period of employment prior to the last entitlement to cash benefit and the period in which the person concerned received the cash benefit. Notwithstanding this, the insurance period shall include the total duration of insurance, together with the period in which the person concerned received the cash benefit, when the right to cash benefit is reclaimed by an insured person older than 57 years or who has accumulated an insurance period of more than 35 years.

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable, including disabled*

4. Social assistance

Financial Social Assistance (*denarna socialna pomoč*) is a social benefit which acts as a final safety-net. It is provided to individuals and families who are unable to secure their material security, for reasons beyond their control. The purpose of Financial Social Assistance is to provide funds to meet the minimum needs at a level which allows the basic subsistence. There are two types of Financial Social Assistance: **Ordinary** and **Extraordinary** (described in section 4.2.1.1).

Supplementary Allowance (*varstveni dodatek*) is another social and financial benefit. Its purpose is to provide funds to cover living expenses that arise over a longer period and are not costs to meet the minimum needs.

Financial Social Assistance and Supplementary Allowance are administered locally and granted by Centres for Social Work (*Centri za socialno delo*).

Financial Social Assistance and Supplementary Allowance can be increased for the **Attendance Allowance** (*dodatek za pomoč in postrežbo*) to persons incapable of work because of old age, disease or disability and in need of help of other persons to perform the basic vital functions. The need of help offered by other persons to perform the basic vital functions shall be established by the invalidity commission. The amount of attendance allowance depends on the established level of need.

Program name in local language		Denarna socialna pomoč
Minimum age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed	Yes
	Participation in integration measures	No
	Active job search	Yes
	Work requirement	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	Job search requirement
Determination of benefit levels		National
Uprating mechanism of the benefit		Adjusted in parallel with adjustments of the Minimum Income whose adjustment is regulated according to transfers to individuals and households.
Other supplements to basic benefit (per family)		No

Means-test for social assistance	Earnings disregards	No, but +28% of benefit if working 60 to 128 hours per month, +56% if more than 128 hours; +14% for other adult with 60 to 128 hours, +28% if more than 128 hours
	Benefit withdrawal rate with regard to earned income	100% with regard to net income
	Assets included in means test?	Yes
	Other benefits included in the means test	All, except home care benefit for parent staying at home
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: + higher rates for children in secondary education
	family situation	G: + 60% of basic rate for spouse, 70% to 80% per child, 20% for lone parent
	over time	0
	other	G: + higher rates if working

4.1 Conditions for receipt

Financial Social Assistance is a means-tested benefit. The eligibility for Financial Social Assistance is estimated each time case by case by the responsible Centre for Social Work. They are a one-stop-shop to which the applicant sends the fulfilled application form for Financial Social Assistance for himself/herself and their family members, as well as other rights from public funds as defined in the Act on exercising the rights from public funds (*Zakon o uveljavljanju pravic iz javnih sredstev* (OJ) RS, 62/10 with changes). Granting of Financial Social Assistance (and other rights from public funds) at Centers Social Work is supported by IT application connecting different administrative data bases which contain information on a claimants' means.

Beneficiaries must be: Slovenian citizens who have permanent residence in the Republic of Slovenia, foreigners who have permit for permanent residence in the Republic of Slovenia and permanent residence, persons granted international protection and their family members who have on the basis of the right to family reunification a residence permit in the Republic of Slovenia and have their permanent or temporary residence in the Republic of Slovenia or be entitled on the basis of international agreements ratified by the Republic of Slovenia.

There is no age restriction for Financial Social Assistance, however for the Supplementary Allowance claimants must be above the age of 63 (women) and 65 (men) or with no age restriction in case of permanent incapacity for work or permanent unemployability. Supplementary Allowance is not granted to people who are in institutional day care.

Financial Social Assistance is granted to single persons or to families. The following family members are taken into account to determine the financial standing of the claimant: 1) claimant's spouse or partner counted as a spouse by family law or registered same sex partner and claimant's children or stepchildren for the duration of his/her obligation of maintenance, or 2) claimant's parents for the duration of maintenance.

Financial Social Assistance and Supplementary Allowance are now regulated by the Social Protection Benefits Act (*Zakon o socialno varstvenih prejemkih* (OJ) RS, 61/10, with changes) that came into force on

January 1, 2012. The act stipulates that in order to become entitled to Financial Social Assistance, the individual without other means of subsistence that is capable of work must actively seek work (the person has to be registered at local employment office as unemployed and actively seek for a job) and meet other conditions.

Financial Social Assistance is not granted to persons who do not achieve the minimum income for reasons which they could or can influence or who, without valid reasons, reject, avoid or abandon activities which could or can lead to employment or to another method of improvement of their situation or that of their family members. The reason referred to this are for example termination of a job for specified reasons, failure to register with the body responsible for employment, unjustified rejection of an appropriate work under a contract for work or a copyright contract and to appropriate temporary or other similar work, unjustified abandonment of the exercise of a right which could influence the social situation of the person or his or her family members, unwillingness to accept the call for concluding the contract on means of support, refusal to conclude or failure to implement the contract on the active addressing of individual social problems, serving a prison sentence, loss of the means of subsistence or of any part of the income, notwithstanding its determination as own income or not according to this Act, for the reasons caused under the person's own influence.

Beneficiaries of Financial Social Assistance must accept any job after receiving Financial Social Assistance for a certain time, i.e. 9 out of the previous 12 months.

The Act on exercising the rights from public funds defines the order of rights to be claimed from public funds. The first right to be claimed is Child Allowance (in case the individual has children), and the second is Financial Social Assistance (followed by the Supplementary Allowance and State Scholarship). This means that in case of a family with children, the Child Allowance is granted first and the amount of it is calculated in the income of the family when means-testing for Financial Social Assistance is performed.

All incomes that are below the amount of Basic Minimum Income can be topped-up by financial social assistance (in case of eligibility).

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The level of Financial Social Assistance is linked to the Basic Minimum Income (*osnovni minimalni dohodek*) determined by and adjusted in accordance with the Social Protection Benefits Act. The amount of Financial Social Assistance and Supplementary Allowance is therefore adjusted in parallel with adjustments of the Basic Minimum Income. The Financial Social Assistance Act defined the Basic Minimum Income at the level of EUR 288.81. That was to be adjusted according to the legislation regulating adjustments of transfers to individuals and households, according to the Act regulating adjustments of transfers to individuals and households in the Republic of Slovenia ((OJ) RS, 114/06). However, before the implementation of the Financial Social Assistance Act started, the basic minimum income was lowered to EUR 260.00 by the Additional 2012 Intervention Measures Act ((OJ) RS, 110/11 - Zakon o dodatnih interventnih ukrepih za leto 2012) and later on by Fiscal Balance Act ((OJ) RS, 40/12 - Zakon za uravnoteženje javnih financ) that prolonged the basic minimum income amount of EUR 260.00 until the end of 2014. On 1 July 2015, the amount of Basic Minimum Income was EUR 269.20.

The amount of Financial Social Assistance depends on the income level, on the number of family members, on property and savings, on whether or not social services (housing, food etc.), are provided to the beneficiary and on whether there is misconduct on the part of the beneficiary (e. g. failure to register with the Employment Service, imprisonment). The amount is fixed by reference to the amount of the Basic Minimum Income (BMI).

The amount of the Financial Social Assistance is for a single person determined as a difference between the BMI for that person and the persons own income. For the family it is determined as a difference between the BMI for the whole family, i.e. by the sum of the amounts of minimum income for each family member and with the deduction of the families own income.

Families are entitled to Financial Social Assistance, if their total monthly income doesn't exceed the following thresholds:

- first adult, or a single person or an adult who is in institutional care: 100% of the BMI = EUR 269.20,
- first adult, or a single person who works between 60 and 128 hours per month: 128% of the BMI = EUR 344.57,
- first adult, or a single person who works more than 128 hours per month: 156% of the BMI = EUR 419.95 euro,
- a single person between the age of 18 and 26, registered with the Employment Service with a permanent residence at the same address as his/her parents or actually residing with them, providing that the parents have means for living: 70% of the BMI = EUR 188.44,
- a single person who is permanently unemployable or permanently incapable of work or who is older than 63 years (women) or 65 years (men) and who has his/her registered residence at the same address as a person who is not a family member as defined by this law and has his own sufficient means of subsistence or is actually residing with him/her: 80% of the BMI = EUR 215.36,
- each other adult: 60% of the BMI = EUR 161.52,
- each other adult working more than 128 hours per month: 88% of the BMI = EUR 236.89,
- each other adult working between 60 and 128 hours per month: 74% of the BMI = EUR 199.21,
- first, oldest child: 80% of the BMI = EUR 215.36,
- each other child: 70% of the BMI = EUR 188.44,
- increase for each child in a single-parent family if no subsistence benefits for child support are received: 20% of the BMI = EUR 53.84.

The monthly amount of Financial Social Assistance is therefore defined as the difference between corresponding thresholds and total income of an individual or family, according to the above mentioned rules.

The amount of Supplementary Allowance is calculated according to the BMI for each family member based on the same determining factors as Financial Social Assistance. The amount for a single person or first person in the family is fixed as 73% of the BMI (EUR 196.51). For every other person in the family fulfilling the conditions the amount is 36% of the BMI (EUR 96.91).

The percentage for Supplementary Allowance is added to the percentage for Financial Social Assistance.

4.2.1.1 *Irregular additional payments*

In cases where it is found that single persons or families, for reasons beyond their control, found themselves in a position of material threat, they can be granted – according to their needs – Extraordinary Financial Social Assistance:

This type of Financial Social Assistance is granted in exceptional circumstances only, when a person finds him or herself in a situation of temporary material deprivation, caused by extraordinary living expenses which he or she cannot cover with his or her own income. It has more of a discretionary nature.

The monthly amount of Extraordinary Social Assistance cannot exceed the amount of Basic Minimum Income for a single person or a family, whereas the amount of one-off Extraordinary Assistance in one calendar year cannot exceed the amount of five Basic Minimum Incomes from which three can be granted only for extraordinary costs incurred due to natural disasters or force majeure.

Since January 1st, 2014 there are also two new specific types of Extraordinary Financial Social Assistance, i.e. Special Extraordinary Financial Social Assistance after the Death of a Family Member (*posebna oblika izredne denarne socialne pomoči po smrti družinskega člana - posmrtnina*) and Special Extraordinary Financial Social Assistance for Covering Funeral Expenses (*posebna oblika izredne denarne socialne pomoči kot pomoč pri kritju stroškov pogreba - pogrebnina*). The purpose of these two types of extraordinary assistance is to provide financial assistance to relatives of the deceased and to partially cover funeral costs.

Special Extraordinary Financial Social Assistance after the Death of a Family Member and Special Extraordinary Financial Social Assistance for Covering Funeral Expenses are one-off payments payable to people who are entitled to Financial Social Assistance in the event of death of their spouse, cohabitant, child, stepchild or parents and who are fulfilling the conditions set forth by law. The Special Extraordinary Financial Social Assistance after the Death of a Family Member equals 269.20 euro, 100% of the Basic Minimum Income. The Special Emergency Financial Social Assistance for Covering Funeral Expenses equals 538.40 euro, 200% of the Basic Minimum Income, or the actual cost of the funeral if this is lower.

4.2.1.2 *Obligations of family members*

Family members of the applicant, who because of inactivity do not meet the obligations regarding active job search (registration at employment office and actively seeking for a job or other reasons), are not entitled to Financial Social Assistance, so in calculating the amount of Basic Minimum Income they are not taken into account.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Total monthly income includes earnings, Unemployment Benefits and Family Benefits, minus Income Tax and Social Security contributions. "Income taken into account" also includes inheritance, gifts, income from agricultural and entrepreneurial activities and all wages and earnings of an individual or his family members which are subject to income tax, as well as non-taxable personal earnings.

All income and benefits are taken into account except:

- subsidies paid from the State budget for specific purposes,
- subsidies for young families as an incentive to address the housing question,
- one-off cash assistance under the legislation governing the protection against natural and other disasters,
- one-off solidarity assistance from the trade union to a member,
- compensation for damaged things that were available for defence needs or protection against natural disasters,
- income associated with agricultural and forestry activity,
- scholarships and other benefits paid to students,
- benefits for covering tuition fees, transport and housing,
- education or training fees and transport or lodging costs,
- transport to work and food allowances,
- cash assistance from humanitarian and disability organisations and charities up to the amount of the minimum income for the individual or family.

Child allowance is taken into account except the additional amount received by one-parent families, and without the addition of a child who is not enrolled in kindergarten, and is reduced by 20% the amount of child allowance for the first child of the first income bracket (EUR 22.86).

Since January 1 2012 all real estate and personal property (vehicles, financial assets) are also taken into account, except some exceptions, such as for example the beneficiary's primary residence, personal vehicles of the value no higher than EUR 8,060.00, cash worth up to three times the Basic Minimum Income for a single person, or, for a family up to three times the Basic Minimum Income up to a maximum of EUR 2,500.00. For those who are permanently unemployed, permanently incapable of work or older than 63 years (women) or 65 years (men) and are not employed, cash up to EUR 2,500.00 is ignored for a single person, or up to EUR 3,500.00 for a family.

4.3 Tax treatment of benefit and interaction with other benefits

Financial Social Assistance and Supplementary Allowance are not taxed.

4.4 Benefit duration and waiting periods

The duration of Financial Social Assistance and/or Supplementary Allowance may not exceed a period of 3 months when granted for the first time.

It can be prolonged for 6 months if circumstances remain unchanged. In special cases (women above 63 and men above 65 and other relevant circumstances) benefits may be granted for a maximum of 12 months. Permanent assistance is given to those whose social status is not likely to improve and who fulfil other specified conditions, such as being above a certain age (63 for women and 65 for men) and unemployed, or with no age limit in the case of permanent incapacity for work or permanent unemployability and with no assets.

Financial Social Assistance and/or Supplementary Allowance may be renewed if the circumstances serving as the basis for granting and determining the level of Financial Social Assistance during the period or the previous and renewed decisions remain unchanged.

Financial Social Assistance and Supplementary Allowance must be returned with interest if obtained by giving false information or failing to report a change in circumstances. Recovery is mandatory. Within 60 days after the enforceability of the decision the recipient must return the unduly received social assistance benefits. Special arrangements on the method, time-frame, deferral or waiving of the recovery are possible.

Financial Social Assistance is not recuperated from the estate of a deceased beneficiary who has been receiving the assistance for 12 months or less, certain other benefits regarding the recuperation are also possible. Extraordinary Financial Social Assistance is not recuperated from the estate. Supplementary Allowance is recuperated only up to two thirds of the amount received.

4.5 Treatment of particular group

Financial Social Assistance and/or Supplementary Allowance are given to single persons or to a family as a whole.

4.5.1 Young persons

Financial Social Assistance is also given to single persons aged over 18 years, who are registered as unemployed. If they are married or live with a partner or have children, than they are treated as a family.

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4.5.2 *Older workers*

No special treatments.

4.5.3 *Others if applicable, including disabled*

For lone parents, the amount of Financial Social Assistance for the family is increased for 20% of the Basic Minimum Income for each child in a single-parent family, i.e. EUR 53.84 (see the amounts in section 4.2.1).

5. Housing benefits for rented accommodation

As a result of the Exercise of Rights to Public Funds Act (OJ RS, 62/10) coming into effect, the entire system of housing benefit has been transferred to Social Work Centers, which have the authority to make decisions on all rights from the Act, including subsidies of non-profit and profit rents and subsidies for caretakers.

Regular housing benefits	Program name in local language		...
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	Yes
		Geographic location	No
		Actual rental cost	Yes
	Description of regular housing benefit		Housing benefits depend on the claimant's income and amounts between 1% and 80% of actual rent with a compulsory 20% minimum payment by claimant. The benefit is calculated based on "reasonable" size of dwelling and depends also on the household size.
	Uprating mechanism of the benefit		...
Housing related support through other benefits		n.a.	

Analysis of paid subsidies:

Year	Paid subsidies (million EUR)	Number of claimants	Average monthly subsidy (in EUR)
2004	SIT 1,210M	6,900	SIT 14,614 (EUR 61)
2005	SIT 930M	5,400	SIT 14,352 (EUR 60)
2006	SIT 1,163M	5,700	SIT 17,025 (EUR 71)
2007	5.2M	5,870	74
2008	5.4M	5,340	84
2009	5.6M	5,450	86
2010	5.3M	5,411	82
2011	6.5M	6,067	89
2012	9.1M	7,668	104
2013	11.7M	9,014	109

Source: Ministry for environment and spatial planning (2004-2011), Ministry of Labour, Family, Social Affairs and Equal Opportunities of the Republic of Slovenia (from 2012).

5.1 *Conditions for receipt*

Admission census:

Size of the Household	Average household income per month (€)
1 member	up to 430
2 members	up to 730
3 members	up to 860
4 members	up to 1010

5.2 *Calculation of benefit amount*

Housing benefits depend on the claimant's income and range between 1% and 80% of the rent for apartment (compulsory 20% minimum payment by claimant). Subsidy is calculated according to the size of apartment defined as appropriate for social apartments and it depends also on the number of the household members.

Beneficiary must pay 20% of the rent. If the beneficiary's ability of rent payment is below 20% then beneficiary is entitled for HB in amount of 80% of the rent. If the beneficiary's ability is more than 20% of the rent then beneficiary is entitled to an amount equal to the difference between their ability to pay and rent.

Beneficiary's ability to pay is calculated as the amount over and above the difference of Net Income (minus 30%) and Basic Minimum Income (described in section 4.2.1).

5.2.1 *Calculation of gross benefit*

The following maximum amounts are payable:

Size of the Household	Upper limit of HB per month (in EUR)
1 member	85
2 members	125
3 members	152
4 members	180
5 members	208
6 members	235

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

In the housing legislation and its implementing regulations, maximum or acceptable housing costs are not determined, neither as the average nor by types of households. Therefore, the level of allowable or desired

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costs related to the use of housing in a region or municipality are not monitored or determined in any other way.

5.3 *Tax treatment of benefit and interaction with other benefits*

Housing benefits are not taxed.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable, including disabled*

Standards for the size of non-profit apartment and for housing benefit claimant:

- 1 person: 20-30m²
- 2 persons: 30-45 m²
- 3 persons: 45-55 m²
- 4 persons: 55-65 m²
- 5 persons: 65-75 m²
- 6 persons: 75-85 m²
- for each additional household member : +6m²

6. Family benefits

Programme name (local name in parentheses if available)			Family benefit	Large family allowance	Supplement to family benefit for lone parents
Type of benefit			Targeted	Targeted benefit for families with 3 or more children	Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		17 (25)	17 (25)	17 (25)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		No	No	No
Uprating mechanism of the benefit			...	...	...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	+	0	0
		Number of children	++	+ for fourth child, 0 from thereon	++ (30% increase of regular benefit)
	Earnings disregard		Benefit calculated based on six brackets of net earnings, fully withdrawn if over EUR 638.09 per month (same across all three programmes)		
	Withdrawal rate		100%	100%	100% with regard to regular benefit
	Assets part of means test?		...	...	...

6.1 Conditions for receipt

The claimant (one of the parent or another person for a child) must have a dependent child aged under 18, or under 26 if they are still in education, or the child is over 18 and has no parents or does not live in a joint household with parents, according to the discretion of the Centre of social work.

6.2 Calculation of benefit amount

The aim of child benefit is to provide parents or the child supplementary income for living, raising and education when the income per family members does not exceed the maximum limit of income class. The income classes are set according to net income (i.e. after deducting personal income tax and social security contributions).

6.2.1 Calculation of gross benefit**Child benefit amounts in 2015 to (in EUR per month):**

Number of income bracket	Income per family member in % of the average monthly wages of all employee and in EUR	Amount of child benefit for each child (child younger than 18)			Amount of child benefit for a child included in the secondary school (child younger than 18)		
		1st child	2nd child	3rd and subsequent children	1st child	2nd child	3rd and subsequent children
1	Up to 18 %, thus EUR 180.97	114.31	125.73	137.18	114.31	125.73	137.18
2	over 18 % to 30 %, thus EUR 180.97 to EUR 301.62	97.73	108.04	118.28	97.73	108.04	118.28
3	over 30 % to 36 %, thus EUR 301.62 to EUR 361.95	74.48	83.25	91.98	74.48	83.25	91.98
4	over 36 % to 42 %, thus EUR 361.95 to EUR 422.27	58.75	67.03	75.47	58.75	67.03	75.47
5	over 42 % to 53 %, thus EUR 422.27 to EUR 532.87	43.24	50.45	57.63	43.24	50.45	57.63
6	over 53 % to 64 %, thus EUR 532.87 to EUR 643.46	27.40	34.29	41.14	39.10	45.99	64.05

If a pre-school child does not attend kindergarten in accordance with the regulations for kindergartens, the amount of the child benefit is increased by 20%.

This 20% increase is paid for the child of kindergarten age. The increase is based on a fact that the state and local communities are not able to ensure access to the kindergartens due to a lack of capacity. Therefore, those families whose children are not included in kindergartens are entitled to the supplement for care.

In addition to child benefit there are following supplementary allowances available:

- **Child birth allowance:** one-time assistance at childbirth (financial assistance - amount EUR **280.00** in 2015)

Entitlement to the child birth allowance is defined according to the income classes used to determine eligibility to child benefit. Child birth allowance is only available to those with incomes in the sixth class or below, which presents 64% of average monthly income per family member e.g. EUR 643.46 per family member. The right can be claimed either mother or by father of the child.

- **Parental allowance** - financial assistance (365 days after the birth of a child or longer in case of special circumstances: birth of twins or triplets, premature birth) to parents who are not entitled to parental compensation after the birth of the child. In the year 2015 parental allowance amount to EUR **252.04** per month.
- **Large family allowance** is an annual benefit for families with three or more children. In 2015 large family allowance for three children amount to EUR **395.00**, for four or more children amount to EUR **480.00** and is paid as a lump sum payment.

Entitlement to large family allowance is based on the income classes used to determine the right to child benefit. Only those in the sixth class or below, which presents 64% of average monthly income per family member e.g. EUR 643.46 per family member, are entitled to the large family allowance.

- **Partial payment for lost income.** Partial payment for lost income is a personal benefit for a parent who has terminated his or her employment or started to work part time in order to care and safeguard a child with severe disturbance in mental development or severe disability in movement. The monthly amount of partial payment for lost income is EUR 734.15. This income is subject to personal income tax and social security contributions.

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

Child benefit is defined as percentage of the average monthly wage of all employees in the Republic of Slovenia (from statistical survey Monthly Report on Earnings by Legal Persons) for the calendar year before the application is filed and is tested once a year. The amount of the child benefit also depends on the number of children in the family receiving child benefit.

6.3 *Tax treatment of benefit and interaction with other benefits*

Child benefits are not taxed.

Child birth allowance is not taxed.

Parental allowance is not taxed.

Large family allowance is not taxed.

Partial payment for lost income is taxed.

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6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

Lone parents: The amount of child benefit is increased by 30% (only for child benefit, see section 6.2.1).

Special Child Care Allowance for a Child in Need of Special Care: Additional allowance. The monthly amount of special care allowance is in 2015 EUR **100.00**. For a child with severe disturbances in mental development and children with severe disability in movement, who need special care, the allowance is EUR **200.00**. **The Special Child Care Allowance for a Child in Need of Special Care** is not taxed.

7. Childcare for pre-school children

Pre-school education, offered by pre-school institutions, is not compulsory. The curriculum is divided in two cycles (from 1 to 3 and from 3 to 6). The new curriculum promotes different types of programme such as: day, half-day and short programmes. There is also possibility of child minders, pre-school education at home or occasional care of children in their homes. The Curriculum for Pre-school Institutions was approved by Council of Experts and it defines six areas of activities: movement, language, art, nature, society and mathematics. The goals set in individual fields of activities provide the framework for selection of content and activities by teachers.

For 2014/2015²:

From 1-3 years: 56%

From 3-5 years: 88%

Total: 76.8%

Compulsory schooling starts at the age of 6 (children start school in the calendar year of their 6th birthday).

7.1 Out-of-pocket childcare fees paid by parents

Childcare fees are not tax deductible.

The system of determining parents' payments for kindergarten programs is determined by the Kindergarten Act and the Exercise of Rights to Public Funds Act (*Zakon o uveljavljanju pravic iz javnih sredstev ZUPJS*). This regulates all the individual social rights, providing basis also for the calculation of the kindergarten fees to be paid by parents.

The price of the program for which parents pay a certain percentage is determined by the municipality on the suggestion of the kindergarten. The kindergarten calculates the price on the basis of identified costs of education, care and food in the kindergarten.

Kindergartens conduct all-day programs (lasting from 6 to 9 hours), half-day programs (lasting from 4 to 6 hours) and shorter programs (lasting from 240 to 720 hours). Most children (97%) are included in all-day programs.

From 1 September 2008 until 1 June 2012 the government provided funds for co-financing the payment of parents with more than one child from the same family enrolled in the kindergarten at the same time. The amount provided by the government was determined by a decision as parents' payment for the kindergarten program in which the younger children were included. In this case parents were paying only for the oldest child in the kindergarten, while for the others they were exempt from payment, and the fee for the oldest child was one bracket lower than normally.

In 2012, these benefits had to be reduced due to a high deficit in public finances. *The Fiscal Balance Act (Zakon o uravnoteženju javnih financ)*, passed on the 11 May and applicable in the area of exercising different rights from public funds from June 1, affected also financial incentives for families with more

² Source: Statistical Office of the Republic of Slovenia

than one child in kindergarten. The Act stipulates: that the percentage of the childcare fee to be paid by parents for the oldest child is not subject to a discount; that the fee for the second child enrolled in the kindergarten at the same time will amount to 30% of the fee paid by parents for the oldest child; and that the third and subsequent children remain exempt of paying the kindergarten fees.

The Exercise of Rights to Public Funds Act (*ZUPJS*) applies to all the individual social rights (incomes, subsidies, payments). Decisions relating to the exercise of these rights are made by the centers for social work in accordance with a common procedure and method for assessing parents' status (income, property) based on official data. Payments are calculated following the grid set by the given Act, which – taking into account the level of income per person in comparison with the net average salary in Slovenia – defines 9 grades. The 1st grade comprises parents with lowest income, to be exempt of kindergarten fees payment; the 9th comprises those whose average monthly income per person amounts to more than 99% of the net average salary and who would pay 77% of the kindergarten fee.

Income brackets according to the average net earnings in 2014 (EUR 1,005.41) were used to determine parents' payments as of **1 January 2015**³

Income bracket	Average net monthly income per family member in % compared to average earnings in Slovenia in the previous calendar year	Payment (% of the program price)
1.	Under 18%	0%
2.	Over 18% to 30%	10%
3.	Over 30% to 36%	20%
4.	Over 36% to 42%	30%
5.	Over 42% to 53%	35%
6.	Over 53% to 64%	43%
7.	Over 64% to 82%	53%
8.	Over 82% to 99%	66%
9.	Over 99%	77%

The Exercise of Rights to Public Funds Act (*ZUPJS*) allows municipalities to further reduce kindergarten fees paid by parents.

The Ministry of Education, Science and Sport collects data on the price of kindergartens and parents' payments. In 2014, the average price for the 1st age group (for children between one and three years of age) was EUR 444.43 and for the 2nd age group (children from three years of age to the age of entering basic compulsory school) EUR 334.76.

³ Source: Ministry of Labour, Family, Social Affairs and Equal Opportunities

7.2 Child-care benefits

7.2.1 Conditions for receipt

Conditions for receipt

The right to child benefit is given to one of the parents or another person responsible for a child younger than age of 18, who legally resides in the Republic of Slovenia and actually lives in the Republic of Slovenia when the income per family member does not exceed the maximum limit specified in the Parental Protection and Family Benefits Act.

The right to child benefit shall not be granted to parents who in order to obtain education, schooling or training live in an institution which provides fulltime care free of charge.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of benefit

The income is calculated in such way that the total income and assets of persons is divided by the number of persons multiplied by 12.

7.2.2.2 Income and earnings disregards

The limits of income for establishing the eligibility to the rights to public funds are determined according to the average monthly salary after the payment of taxes and compulsory contributions for social security per employee in the Republic of Slovenia calculated by the data of the Statistical Office of the Republic of Slovenia in the calendar year prior to the year when the application is submitted (hereinafter: net average salary), except if the Act stipulates otherwise. If the net average salary for the previous calendar year is not available, then the net average salary for the year before the previous year is used.

7.2.3 Tax treatment of benefit and interaction with other benefits

Child care benefits are not taxed.

7.2.4 Treatment of particular groups, including disabled

The amount of the child benefit depends on a family's income class and the number of the children. The child benefit for the child who lives in a single-parent family is increased by 30%.

8. Employment-conditional benefits

1. Employment rehabilitation.

Persons with disability are eligible for employment rehabilitation programmes including services for persons with disability for counseling, motivating and empowering persons with disability, for taking active part in their employment lives, making assessments of working abilities, knowledge, skills and professional interests, psychosocial rehabilitation and informing them of options in labour market, follow-up of social and working environment, helping to find employment, helping develop professional goals and social skills, analyzing their working environment, analyzing the required technology in their working environment and training for a specific job.

Eligibility depends on:

- Whether there is influence of the effects of physical or mental disability or disease on an individual.
- The level of needs for services of employment rehabilitation as a part of whole rehabilitation.
- The level of employability by adapting working environment or using modern technology.
- An assessment of social or working environment.

2. Allowance

People with disabilities who participate in programmes of employment rehabilitation are eligible for temporary allowances to compensate for their loss of income during the time of participation. Allowances include travel and accommodation expenses of the participants.

The employment service of Slovenia has the authority to decide the entitlements and rights of people with disabilities.

3. Earnings subsidy

Persons with disability are eligible for compensation for low income due to lack of productivity.

The subsidy is intended for employees with disability in protected and supported work places. 30-70% of salary is intended for those employed in protected work places, 5-30% of salary for those in supported employment and 5-30% of salary for those employed in companies for persons with disability. The subsidy is dependent on the level of disability.

The entitlement for subsidy is decided by the Foundation for promoting employment of persons with disability.

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

Subsidies received by employers are taxed.

There are tax allowances for employers (the deduction is equal to 50% of the salary of the disabled person; or 70% in the case of certain special disabilities defined by the law.

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Taxpayers who do not employ workers and who are acknowledged as disabled may claim a deduction of 30 % of the average monthly wage of employees in Slovenia; or 60 % in the case of certain special disabilities defined by the law.

8.4 *Benefit duration*

Benefit duration is dependent on how long an individual participates in the Programme of employment rehabilitation, whilst subsidy is not time-limited.

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

9. Lone-parent benefits

(See chapter 6 on Family benefits)

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable, including disabled

10. Tax system

Income from employment which includes income of part-time workers and unemployment benefits is taxed in a way that the taxable bases of different sources of income earned in a calendar year are computed separately and then aggregated. In computing the taxable base the contributions for social insurance and standard and nonstandard, if any, allowances are deducted. The net tax base is taxed at progressive rates. The annual tax rate schedule is fixed and is only adjusted on a yearly basis if the coefficient of the growth of the consumer price in Slovenia for August of the current year compared to the August of the preceding year, according to data from the Statistical Office of the Republic of Slovenia, exceeds 1.03.

Financial social assistance, housing benefit and child benefit are not taxed.

Self-employed individuals with income in a form of profits and are included in the social insurance system (pension and disability, health, unemployment and maternity leave).

10.1 Income tax

Personal income tax is levied on six categories of income: income from employment, business, basic agriculture and forestry, rental and royalties, capital (interest, dividends and capital gains) and other income. Income other than income from capital, rental income and income deriving from business is taxed on an annual basis and at progressive rates (16 %, 27 % and 41 %, there is a fourth tax bracket with a tax rate of 50 % for the years 2013, 2014 and 2015 and extended also for the years 2016 and 2017) and taking into account the allowances and deductions. Capital income (interest, dividends and capital gains) and also income from rental are taxed at proportionate rates (25 %) on a scheduled basis. Under certain conditions personal business income may be taxed on a schedular basis using a lump-sum deduction regime (the tax base is determined on the basis of lump-sum costs accounting for 80 % of income). The tax rate is 20 %. The tax is treated as a final tax for residents and non-residents alike.

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Allowances that reduce the aggregated taxable base for a resident taxpayer on an annual level include:

- *A general (basic) allowance* of EUR 3 302.70, which is deductible from income in 2015. For lower income groups an additional general allowance of EUR 3 217.12 is deductible when taxable income is lower than EUR 10 866.37, and of EUR 1 115.94 when taxable income is between EUR 10 866.37 and EUR 12 570.89.
- *Family allowances* are also deductible from the tax base in the same way as for the general allowance. The allowances for 2015 are as follows:
 - EUR 2 436.92 for the first dependent child;
 - EUR 2 649.24 for the second child;
 - EUR 4 418.54 for the third child;
 - EUR 6 187.85 for the fourth child;
 - EUR 7 957.14 for the fifth child;
 - EUR 1 769.30 for the sixth and all additional maintained children relative to the level of relief for the preceding maintained child;
 - EUR 8 830.00 for a dependent child who requires special care;

- EUR 2 436.92 for any other dependent family member.
- *Relief for social security contributions:* Employee's compulsory contributions for the social insurance system are deductible for income tax purposes.
- *Additional voluntary pension insurance premiums:* Premiums paid by a resident to the provider of an approved pension plan based in Slovenia or in another EU Member State are deductible from taxable income. In 2015 such deductions are subject to an annual limit of EUR 2 819.09 or a sum equal to 24 % of the employee's contribution for compulsory pension and disability insurance if that is less.
- *Reimbursement of expenses associated with work,* such as in-work meals, transport to and from work, in-the-field supplements (per diem when an employee works outside his or her working place) and compensation for being away from home, are exempt subject to statutory conditions and upper limits.
- *Reimbursement of expenses associated with business travel* such as: per diem allowances, transport costs (including the use of the employee's private vehicle for work purposes), and the costs of overnight accommodation, are exempt subject to statutory conditions and upper limits.
- The cost of purchasing and maintaining uniforms and personal protection work equipment defined in special regulations is exempt from income tax.
- *Compensation for the use of an employee's own tools* and other equipment (except private vehicles) necessary for the performance of work at the work place, is exempt up to a level of 2 % of the monthly wage or salary of the employee or the average gross monthly wage (AGMW) if that is lower.
- Long service bonuses, severance pay upon retirement and payments related to accidents, long term sickness and other unexpected events are exempt subject to statutory conditions and upper limits.
- *Severance pay* on redundancy is exempt subject to an upper limit of ten times the AGMW.
- *Compensation for the use of an employee's own possessions and property when working at home* in accordance with statutory regulations is exempt up to a level of 5 % of the monthly wage or salary of the employee, subject to an upper limit of 5 % of the AGMW.

10.1.1.2 Standard tax credits

There is no standard tax credit.

10.1.2 Income tax schedule (central government income tax)

The tax schedule for 2015 is as follows:

Taxable income (EUR)	Tax rate (%)
Up to 8 021.34	16
8 021.34–18 960.28	27
18 960.28–70 907.20	41
Above 70 907.20	50

10.1.3 *State and local income taxes*

There is no personal income tax on the local level.

10.2 *Treatment of family income*

Personal income tax applies at an individual level. Each individual is treated as a separate taxpayer. There is no taxation of spouses or a family as a whole.

Taxpayers are entitled to the family allowance for a dependent child and other dependent family member—for example a spouse without income of her/his own.

Family allowances for dependent children are transferable between partners/spouses. The allowance for the each family member in the tax year shall be granted only to one taxpayer, though unused allowances can be transferred to the other partner/spouse.

10.3 *Social security contributions and payroll taxes*

There are four compulsory social security insurance schemes:

- i) pension and disability insurance;
- ii) health insurance;
- iii) unemployment insurance and
- iv) maternity leave insurance.

Persons liable to pay contributions are insured individuals (employees, self-employed persons, including farmers, other individuals), employers and other persons.

In general both employers and employees pay compulsory social security contributions.

The basis for social security contributions of employees and employers is the amount of the gross wages and salaries (with no limitations), including other income from employment (such as vacation payments, fringe benefits and remuneration of expenses related to work above a certain threshold).

The system of health insurance is divided into compulsory health insurance, voluntary health insurance for additional coverage, and insurance for services that are not a constituent part of compulsory insurance.

The pension and disability insurance system covers:

- compulsory pension and disability insurance based on intergenerational solidarity;
- compulsory supplementary pension insurance (occupational pension insurance);
- voluntary supplementary pension insurance on the basis of personal pension savings accounts.

Compulsory social security contributions are not taxed.

10.3.1 *Contributions payable by employees and benefit recipients*

Pension insurance	15.50%
Health insurance	6.36%
Unemployment insurance	0.14%
Maternity leave	0.10%
Total	22.10%

Employees' contributions are deductible for personal income tax purposes.

10.3.2 Contributions payable by employers

Pension insurance	8.85%
Health insurance (including insurance against injuries at work and occupational diseases)	7.09%
Unemployment insurance	0.06%
Maternity leave	0.10%
Total	16.10%

Employers' contributions are deductible for corporate income tax purposes.

10.3.3 Payroll taxes

There is no payroll tax.

10.4 Treatment of particular group

10.4.1 Young persons

Resident students are granted special allowance of EUR 2,477.03 for income earned from temporary work done on the basis of a referral issued by a special organization dealing with job-matching services for pupils and students.

School meals are determined by two Acts: the School Meals Act (taking effect from 1 February 2013), which regulates the organisation of school meals for students in compulsory (single structure of primary and lower-secondary education called basic school) and upper secondary education, and the Exercise of Rights to Public Funds Act. The price for a meal is determined by the Minister and schools must provide a meal within such a determined price. Students with lower social- economic status are entitled to a subsidy for school meals.

Compulsory basic school:

- students whose income per family member is less than 53% of the average net earnings in the Republic of Slovenia are entitled to the total price of one light school meal (snack) per day;
- students whose income per family member amounts to less than 18% of average net earnings in the Republic of Slovenia are entitled to the total price of one school lunch and one light school meal (snack) per day.

Upper secondary school:

- students whose income per family member is less than 42% of the average net earnings in the Republic of Slovenia are entitled to the total price of one school meal per day.
- students whose income per family member is between 42% and 53% of the average net earnings in the Republic of Slovenia are entitled to a subsidy of 70% of the price for one meal per day;
- students whose income per family member is between 53% and 64% of the average net earnings in the Republic of Slovenia are entitled to a subsidy of 40% of the price for one meal per day.
- Upper secondary schools are obliged to offer their students a hot meal or a nutritious and energy-rich cold meal.

Every pupil enrolled in basic school education (single structure of primary and lower secondary education) can participate in at least one open-air school event. All are entitled to receive financial support for this at least once during their schooling. There are special subsidies to support the participation of socially

disadvantaged pupils. For children involved in programs for children with special needs and in special programs of education and training, these funds are provided more than once.

The Ministry of Education, Science and Sport provides free textbooks from textbook funds for all children enrolled in basic school (single structure of primary and lower-secondary education). Textbook funds in basic schools are obligatory, while upper-secondary schools are free to set up textbook funds. Most of them decide to do, with possible financial support from the state budget and a certain participation fee by the students. This however, must not exceed one third of the price at which the textbook was purchased by the school. There are special subsidies for socially disadvantaged students, allowing them to borrow textbooks for free.

Local communities must provide free transportation for children whose residence is located more than four kilometers from the basic school. First-grade children have the right to free transport irrespective of the distance from their residence to their elementary school, while in the other grades they have this right if the competent road traffic safety authority finds that the safety of children on the way to school is endangered.

Children and pupils with special needs have the right to free transport, irrespective of the distance from their residence to their school if so determined by the decision on their assignment. Students that need education in specialized institutions have the right to free care and free transport home during school free days.

Funds for the transport of basic school children and the protection of commuters who are threatened by dangerous wild animals on their way to school are provided from the national budget.

Funds to subsidize transport are provided from the national budget for pupils and students who have their place of residence at least 2 km from the place of education and are:

- Pupils;
- Participants in adult education enrolled in an accredited study programme of secondary, vocational and higher professional education, if they are not employed or registered as unemployed and are not part of the education process in accordance with the regulations on the organization of the labor market until the age of 26;
- Students, if they are not employed.

Living in an upper secondary school boarding home: If a family has one or more children who reside in an upper secondary school boarding home, it pays only for the first child, while others live there for free.

The Republic of Slovenia subsidizes accommodation of students in public and private institutions, with other private operators registered with the industry of student accommodation and through this with the private operator's owners of rooms.

In regard to subsidizing student accommodation for the citizens of the Republic of Slovenia, learning i.e. study success is accounted for as well material status, remoteness of the permanent place of residence from the place of study and social and health circumstances of the student in question.

10.4.2 *Older workers*

There is no special tax allowance for the older workers in the personal income tax.

10.4.3 *Others if applicable*

Personal allowances for income tax purposes:

- Disabled person's allowance: EUR 17,658.84 in 2013

Tax credits for income tax purposes:

- equal to 13.5% of the pension received from compulsory pension and disability social insurance.
- equal to 13.5% of the compensation received from compulsory disability social insurance as disabled worker.

Self-employed individuals are obliged to pay social security contributions (SSC) on the basis of their profits. They are obliged to pay SSC on the monthly basis. There is no annual consolidation.

The SSC base for the self-employed changed in 2014. This means that the self-employed are obliged to pay social security contributions on the basis of their profits made in previous year, reduced by 25%. However, as part of a transitional package, the percentage reduction was 28% in 2015.

If the self-employed person creates a loss or a profit (reduced by a certain percentage) that is less than the 60 % of the average wage (AW), the base is equal to the 60 % of the AW. However, the law also provides for a lower amount for a transitional period, namely:

- in 2014: the minimum wage;
- in 2015: 54% of the AW;
- in 2016: 56% of the AW;
- in 2017: 58% of the AW;
- in 2018: 60% of the AW.

For the year 2015 there is one major difference in determining the minimum insurance base for pension, unemployment insurance and maternity leave and for health insurance. If the self-employed person creates a loss or a profit (reduced by 28% for the year 2015) that is less than the 54% of the average wage then it is the minimum insurance base of 54% of the average wage applies only for pension, unemployment insurance and maternity leave (with contribution rate 24.75%). If self-employed person creates a loss or a profit (reduced by 28%) that is less than the 60% of the average wage, the minimum insurance base for the social security contributions for health insurance (with rate 13.45%) is equal to the 60% of the average wage.

The maximum insurance (contribution) base is defined as the amount of 350% of the AW. Self-employed individuals can opt to pay their SSC at a higher insurance (contribution) base than the one calculated on the basis of their profit but no higher than the amount equal to 350% of the AW.

Contributions payable by **Self-employed**

Pension insurance	24.35%
Health insurance (including insurance against injuries at work and occupational diseases)	13.45%
Unemployment insurance	0.20%
Maternity leave	0.20%
Total	38.20%

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

There is no special tax regime for part-time work.

12. Policy developments

12.1 Policy changes introduced from 1 July 2014 – 1 July 2015

Ministry of Finance:

With an amendment to the Fiscal Balance Act (ZUJF) in 2015, Slovenia extended the additional fourth income tax bracket with the rate of 50%.

To increase the competitiveness of the economy, Slovenia in 2015 adopted some measures:

- that widen the scope of existing incentives for investment in goods vehicles, depending on engine emission requirements for buses. Tax relief for investments made in 2014 (retroactive measure) can be invoked for goods vehicles and buses with engines compliant with at least EURO VI emission requirements.
- that increase the deductibility of expenses for entrepreneurs and also legal entities who choose a lump-sum deduction. The threshold for taxation increased from EUR 50,000 to EUR 100,000 together with an increase in the level of flat-rate expenses from 70% to 80% of business income. In order to be able to opt for this lump-sum expense deduction, the taxpayer must employ at least one person full-time continuously for at least five months.

For the year 2015 the Government introduced some additional measures that will further contribute to reducing the “shadow economy” and simpler tax compliance. Changes in the Tax Procedure Act applicable from 2015, have introduced:

- solutions regarding invoices issued for cash payment transactions without the use of computer software or an electronic device (i.e. virtual tax register). Such invoices must be issued from a bound book of invoices previously numbered (registered) by the tax authority;
- a measure which regulates the electronic service (come into force in 2016), will extend the possibility of electronic commerce authority and thus increase the efficiency of the tax authority;
- implementation of the FATCA (Foreign Account Tax Compliance Act) agreement, which complements the current arrangements on cooperation between the Republic of Slovenia and the United States on avoidance of double taxation and prevention evasion of income and wealth taxes, which will be the basis for enhancing the sharing of information with other countries.

Ministry of Labour, Family, Social Affairs and Equal Opportunities: In July 2013, the Act on Emergency Measures in the field of Labour Market and Parental Care (OJ RS, No. 63/2013) was adopted.

1. The Act introduced temporary subsidy - **exemption from the obligation of payment of employer's contributions for youth** with the aim to improve employability of youth until end of 2014. This measure was prolonged until end of 2015. The main goal of the measure is to encourage employers to employ young people on a permanent basis and improve the employability of young people without working experience. Employers who sign a permanent contract with a person under 30 who has been registered at PES for at least three months will be exempted from paying social contribution for the following 24 months. The measure was in place from 1 November 2013 till 31 December 2015.

In December changes to Fiscal Balance Act were adopted that regulate **student work** and that entered into force in February 2015. The recent changes followed three main goals:

- Higher social and economic security for students arising from student work
- Reduction of labour market segmentation (more comparable social security obligations and rights by different forms of work in comparison to employment relationship)

The measures adopted to achieve these goals were:

- Inclusion of student work in pension and disability insurance and health insurance, guaranteeing students corresponding social rights;
- Division of social security contributions between the employer and the employee;
- Keeping the basic system of student work intact without any additional administrative burdens or restrictions for employers and students.

On the basis of student work students pay contributions for pension and disabilities insurance of 15.50%. Employers pay contributions for pension and disabilities insurance of 8.85%, contributions for health insurance of 6.36%, contributions for injuries and occupational diseases insurance of 0.53%, special taxes on student work for student homes, scholarships, student agencies and the Student Organization of Slovenia of 18.00%, 33.74% in total. On the basis of paid contributions students are entitled to corresponding pension rights.

The BMI was increased to EUR 269.20 from August 1st 2014.

From 1 September 2014, Financial Social Assistance was made more generous for couples and lone parents. Furthermore, certain elements of child benefits (the additional amount received by lone parent families, the additional amount received by young children not attending kindergarten and 20% of the allowance for the first child in the first income bracket) were no longer taken into account in the Financial Social Assistance means test.

The amount of Supplementary Allowance is calculated according to the BMI for each family member based on the same determining factors as Financial Social Assistance. The amount for a single person or first person in the family is fixed as 63% of the BMI (EUR 181.95). For every other person in the family fulfilling the conditions the amount is 34% of the BMI (EUR 98.19). For a single person, which is permanently unemployable or permanently unfit for work or unemployed and older than 63 years for women and 65 years for men, which has a registered permanent or temporary residence at the same address as those persons who are not family members and have sufficient means of subsistence, or is actually residing with them the amount is 69% of the BMI (EUR 199.28)

Ministry of Education, Science and Sport

The Act amending the Exercise of Rights to Public Funds Act adopted on 3 December 2013 and subsequently the Act amending the School Meals Act from 23 June 2014 introduced a change relating to the way of granting rights to receive a subsidy for school meals. Namely, pupils and students (primary, lower-secondary and upper-secondary schools) no longer have to present special applications, the rights to this subsidy being granted to them based on previously assessed rights to child allowance or state scholarship.

12.2 *Future policy changes announced since 1 July 2015*

Ministry of Finance:

With amendment to Fiscal Balance Act (ZUJF) Slovenia increased the third income tax bracket above which income tax is paid at the rate of 41% from the current EUR 18,960 to EUR 20,400; while it extended the validity of the fourth tax class to the level of 50% for incomes above EUR 70,907. The measure is in place from January 1 2016 till December 31 2017.

Some important measures to reduce administrative barriers and increase the efficiency of the collection of public levies and hence improve the competitiveness of the business environment have been announced, namely:

- some improvements of the existing tax legislation to remove administrative burdens and simplify the tax collection process and the fulfillment of tax obligations for taxable persons with a general

overview of the Tax Procedure Act and particular procedures for collecting taxes and social security contributions;

- a simplification in the way VAT is charged on the import of goods for taxable persons identified for VAT purposes in Slovenia (the importers will no longer be required to pay the VAT on the importation of goods, but will instead make the payment of VAT through a VAT return for the tax period in which the goods were imported);
- the retention of the higher VAT rates (22% and 9.5%) introduced in 2013,
- the introduction of a certified cash register with on line transmission of data to the Financial Administration. This Act on fiscal verification of invoices came into force on August 1 2015. By this act, cash registries are enacted in the form of a procedure of fiscal verification of invoices, starting from January 2 2016.

Ministry of Labour, Family, Social Affairs and Equal Opportunities:

The BMI was increased to 270.82 from August 1st 2015. With the adoption of the Act amending the Social protection benefits act (*Zakon o spremembah Zakona socialno varstvenih prejemkih* (OJ) RS, 90/15) the BMI was increased to EUR 288.81 in January 2016. It also reformed the social assistance system such that families are entitled to Financial Social Assistance if their total monthly income doesn't exceed the following thresholds:

- first adult, or a single person or an adult who is in institutional care: 100% of the BMI = EUR 288.81,
- first adult, or a single person who is economically active in the range of 60 to 128 hours per month: 128% of the BMI = EUR 349.67,
- first adult, or a single person who is economically active in a range of more than 128 hours per month: 156% of the BMI = EUR 450.54,
- a single person between the age of 18 and 26, registered with the Employment Service with a permanent residence at the same address as his/her parents or actually residing with them, providing that the parents have means for living: 70% of the BMI = EUR 202.16,
- a single person who is permanently unemployable or permanently incapable of work or who is older than 63 years (women) or 65 years (men) and who has his/her registered residence at the same address as a person who is not a family member as defined by this law and has his own sufficient means of subsistence or is actually residing with him/her: 76% of the BMI = EUR 219.50,
- every next adult person: 57% of the BMI = EUR 164.62,
- every next adult person economically active in a range of more than 128 hours per month: 85% of the BMI = EUR 245.48,
- every next adult person who is economically active in the range of 60 to 128 hours per month: 71% of the BMI = EUR 205.05,
- first, oldest child: 76% of the BMI = EUR 219.50,
- every next child: 66% of the BMI = EUR 109.61,
- increase for each child in a single-parent family if no subsistence benefits for child support are received: 20% of the BMI = EUR 57.76.

The monthly amount of Financial Social Assistance is therefore defined as the difference between corresponding thresholds and total income of an individual or family, according to the above mentioned rules.

Ministry of Education, Science and Sport

The Act amending the Exercise of Rights to Public Funds Act adopted on July 31th 2015 introduced a change relating to subsidy for school lunch in compulsory basic school. The act has been applied since January 1st 2016):

Reference date for all information is **July 1st 2015**

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- students whose income per family member is less than 18% of the net average earnings in the Republic of Slovenia are entitled to the total price of one school lunch;
- students whose income per family member is between 18% and 30% of the net average earnings in the Republic of Slovenia are entitled to a subsidy of 70% of the price for one school lunch per day;
- students whose income per family member amounts is more than 30% of the net average earnings in the Republic of Slovenia are entitled to a subsidy of 40% of the price for one school lunch per day.

Additional reforms and development guidelines in preschool education for 2015:

In November 2015, the Government of the Republic of Slovenia and representative public sector trade unions adopted an Agreement on measures relating to labour costs and other measures in the public sector for 2016. Based on the agreement, the Act Regulating Measures Relating to Salaries and Other Labour Costs for 2016 and other Fiscal Balance Measures in the Public Sector temporarily limits expenditures on salaries and other labour costs and lays down certain other measures in the public sector. The Amendments to the Exercise of Rights from Public Funds Act were adopted in November, eliminating parts of austerity measures put in place by the Fiscal Balance Act of 2012. The amounts of child benefit in the fifth and sixth income brackets increased as of January 1st 2016 by approximately 10 percent to the level they were prior to the implementation of austerity measures. This measure will cost EUR 4 million in 2016 and 2017.

In order to make it easier for new teachers, child care workers and other professional workers to enter the educational system (from pre-school to higher vocational education and adult education), the Rules on the teaching certification examination were amended at the beginning of September 2015. Candidates who gained relevant work experience by teaching within the framework of the accredited/state-approved education system could take teaching certification examinations prior to the entry into force of the amendment to the Rules. The amendment to the Rules extends the ways in which they can gain work experience, as teaching certification examination candidates may, to a certain extent, have accredited organised indirect educational activities carried out outside the accredited/state-approved education system as well as teaching practice within the study programme.

In July 2015, the National Assembly adopted the Resolution on the National Programme on Nutrition and Physical Activity for Health 2015–2025. The national programme is a strategic and comprehensive framework whose objective is to improve eating habits and to increase physical activity among the Slovenian population from the earliest period of life to very old age. The programme defined concrete and measurable objectives and measures in a variety of priority areas. Some of them are associated with education, such as the provision of healthy diets in line with guidelines and recommendations (organised meals in kindergartens and schools and student meals, physical activities in the education system, etc.). The inter-ministerial working group will ensure the coordinated operation and the implementation of the national programme. Specific activities will be defined in periodic implementation plans, on the basis of which the operationalisation of measures will be achieved, along with their operators and the necessary financial resources.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasi compulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.